

ETHICS IN BUSINESS

Every business decision runs through a filter nobody can see on a balance sheet: is this the right thing to do?

WHAT YOU'RE GETTING FOR YOUR 50 MINUTES

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| 3.1 Describe ethics and the systems of ethical conduct | p. 2-3 |
| 3.2 Explain how personal ethics play a role in the workplace | p. 4 |
| 3.3 Analyze the strategies and challenges of corporate social responsibility | p. 5-6 |
| 3.4 Summarize how legal compliance impacts ethical conduct | p. 7 |
| 3.5 Identify business opportunities created by ethical standards | p. 8 |
| 3.6 List approaches for developing and maintaining an ethical workplace | p. 9 |

Red-outlined boxes are in-class activities — that's your cue to actually participate, not just read.

THE DEFINITION WE BUILD ON ALL CLASS

Ethics is the study of the general nature of morals and the specific moral principles that govern a person's behavior.

Chapter 2 explained the market forces around a business. This chapter turns inward: what does a business owe the people it touches, and what happens when doing right and turning a profit pull in different directions?

What counts as ethical?

Before a company can claim to be ethical, everyone in the room needs to be using the same definition — and there's more than one way to reason about right and wrong.

TWO SYSTEMS FOR DECIDING WHAT'S RIGHT

Moral relativism.

There is no universal moral truth — only individual beliefs, perspectives, and values. What's "right" depends on who you ask.

YOUR OWN EXAMPLE

Situational ethics.

Decisions are made based on the specific situation at hand, instead of applying one universal law to every case.

YOUR OWN EXAMPLE

UNETHICAL VS. AMORAL — NOT THE SAME THING

Unethical behavior.

Behavior that does not conform to a set of approved standards of social or professional behavior.

GIVE AN EXAMPLE

Amoral behavior.

Behavior from a person who has no sense of right and wrong, and no interest in the moral consequences of their actions.

GIVE AN EXAMPLE

YOUR OWN CODE

Personal ethics. principles that guide the decisions you make in your life.

CAN YOU CLARIFY WHAT YOUR OWN PERSONAL ETHICS ARE?

NOTES • 3.1 ETHICS DEFINED

Three lenses for judging right and wrong

When someone tries to justify a decision, they're almost always leaning on one of these three approaches — often without realizing it.

01 Utilitarianism — consequence-based

Judges an action by its outcomes: the right choice produces the greatest good for the greatest number of people.

EX.

02 Deontology — duty-based

Judges an action by whether it follows a moral rule or duty, regardless of the outcome it produces.

EX.

03 Virtue ethics — character-based

Judges an action by whether it reflects good character traits, such as honesty, courage, and fairness.

EX.

DISCUSSION QUESTION

Can living ethically make you happier and/or healthier?

Where your ethics meet your paycheck

You don't leave your personal ethics at the door when you clock in — and companies know it.

Our personal ideas of right and wrong influence our actions, words, and thoughts on the job as much as off it. Off-the-job behavior, integrity, and honesty relate directly to on-the-job performance.

HOW DO YOU READ A COMPANY'S ETHICS?

Code of ethics (code of conduct). a company's written statement of its commitment to certain ethical practices — one of the clearest windows into how an organization expects its people to behave.

IN-CLASS DISCUSSION

What if you are asked to do something that conflicts with your understanding of ethical behavior?

NOTES • 3.2 PERSONAL ETHICS AT WORK

The five pillars of corporate responsibility

Corporate social responsibility (CSR). a company's obligation to conduct its activities with the aim of achieving social, environmental, and economic development.

Being socially responsible means making good decisions across five areas at once.

01 Human rights and employment standards

How a company respects and cares for its employees — fair wages, safety, and treatment across a global supply chain.

EX.

02 Ethical sourcing and procurement

Once a business sources materials from another country, it's tied to that region's environmental and social conditions.

EX.

03 Marketing and consumer issues

Truthful advertising isn't enough — marketers must also avoid messages that manipulate, even without an outright lie.

EX.

04 Environmental, health, and safety concerns

Everyday decisions, from emissions to workplace safety rules, affect the environment and the people nearby.

EX.

05 Community and good-neighbor policies

How a company affects the communities it does business in — particularly its literal next-door neighbors.

EX.

Weighing the costs and benefits of CSR

Benefits of CSR.

A stronger reputation with consumers and vendors, better recruitment and retention, efficiency gains from less waste, and sales growth through ethical innovation.

A COMPANY YOU'D CITE

Challenges of CSR.

Balancing investor returns against the desire to reduce human suffering is genuinely hard, and CSR's long-term payoff is difficult to measure in the short term.

A COMPANY YOU'D CITE

HOW IS CSR MEASURED?

Social audits (a study of how well a company meets its social responsibilities), outside ratings and rankings, self-reporting, and corporate philanthropy — donating profits or resources to charitable causes.

WHO IS A BUSINESS RESPONSIBLE TO?

Stockholder theory and stakeholder theory give two very different answers to that question — we'll unpack both in the special focus section at the end of this handout.

IN-CLASS DISCUSSION

Identify a real-world example of CSR.

NOTES • 3.3 CORPORATE SOCIAL RESPONSIBILITY

When legal and ethical aren't the same thing

Being legal and being ethical are related — but they are not the same thing.

Legal regulations.

The specific laws governing the products or processes of an industry.

YOUR OWN EXAMPLE

Legal compliance.

Conducting a business within the boundaries of all the legal regulations of that industry.

YOUR OWN EXAMPLE

IN-CLASS DISCUSSION — PICK ONE

Discuss whether meeting legal requirements alone makes a company ethical.

Why might a company choose to do more than what the law requires?

Think of a real-world company or situation where legal compliance and ethical behavior were different.

Turning ethics into opportunity

Doing right and turning a profit aren't always in tension — sometimes the ethical gap is the market opportunity.

01 Green energy

Companies don't need to invent new solar technology — there's a market in simply making clean energy affordable to switch to.

EX.

02 Developing new medicines

Orphan diseases are rare and traditionally unprofitable to treat, but persistence has turned some of them into viable markets.

EX.

03 Reclaimed or recycled materials

Ocean plastic and other reclaimed waste have become source material for an entirely new category of products.

EX.

GOING GREEN

Sustainability. the process of improving the quality of people's lives in ways that simultaneously protect and enhance the earth's life support systems.

NOTES • 3.5 ETHICAL BUSINESS OPPORTUNITIES

Building a culture that holds

An ethical culture isn't a one-time announcement — it's built at hiring and maintained every day after.

LEVER ONE • ETHICAL FOCUS FROM THE START

Keep a strict, current code of ethics and mission statement in place — and actually communicate it to employees. Offer orientation programs so new employees know the ethical standards from day one.

LEVER TWO • ETHICAL FOCUS EVERY DAY

Managers talk regularly with employees about acceptable and unacceptable practices. Anonymous hotlines let employees report violations without fear. Ongoing ethics training programs keep awareness from fading over time.

REFLECT

Which of these approaches have you seen in a workplace you've been part of?

NOTES • 3.6 MAINTAINING AN ETHICAL CULTURE

Who is a business actually responsible to?

Two of the most influential — and opposing — answers, thirty years and one economist apart.

SHAREHOLDER FOCUS Friedman, 1970 → **BALANCED** → **STAKEHOLDER FOCUS** Freeman, 1984

Shareholder theory.

The task of a business is to use its resources and engage in activities designed to increase its profits — as long as it stays within the rules of the game: open, free competition, without deception or fraud.

WHERE DO YOU LAND?

Stakeholder theory.

The task of executives is to create as much value as possible for stakeholders without resorting to tradeoffs. Businesses exist to do more than just make profits for shareholders.

WHERE DO YOU LAND?

MILTON FRIEDMAN, 1970

“There is one and only one social responsibility of business — to use its resources and engage in activities designed to increase its profits so long as it stays within the rules of the game.”

Ignoring stakeholders can harm a company’s reputation and its long-term success — even if it helps this quarter’s numbers.

DISCUSSION QUESTION

Which theory do you find more convincing — and why?

Can a company practice stakeholder theory and still satisfy Friedman’s rule of “without deception or fraud”?

NOTES • SHAREHOLDER VS. STAKEHOLDER THEORY

Closing the ledger

Define each term in your own words. If you can do all of them without looking, you're ready for the quiz.

DEFINE THESE IN YOUR OWN WORDS

Ethics	Moral relativism	Situational ethics
Unethical behavior	Amoral behavior	Personal ethics
Utilitarianism	Deontology	Virtue ethics
Code of ethics	Social audit	Legal regulations
Legal compliance	Sustainability	Stockholder theory
Stakeholder theory	CSR (corporate social responsibility)	

ACTIVITY MINUTE • BEFORE YOU LEAVE

Which key term from this chapter matters most, and why?

Your one biggest “ah-ha” moment:

Where do you personally land — shareholder theory, stakeholder theory, or somewhere in between?

TOTAL — 50 MIN • PAID IN FULL

Chapter 2 explained who sets a price and what happens when the whole economy turns. Chapter 3 explained what a business owes the people and the world around it once it can compete and turn a profit.